Grandeur
The Consulting and Knowledge Cell of SSCBS

THE GAMING INDUSTRY

A comprehensive analysis of the popular industry

Industry Overview

Bird's eye view of a popular industry with rapid developments and huge growth potential

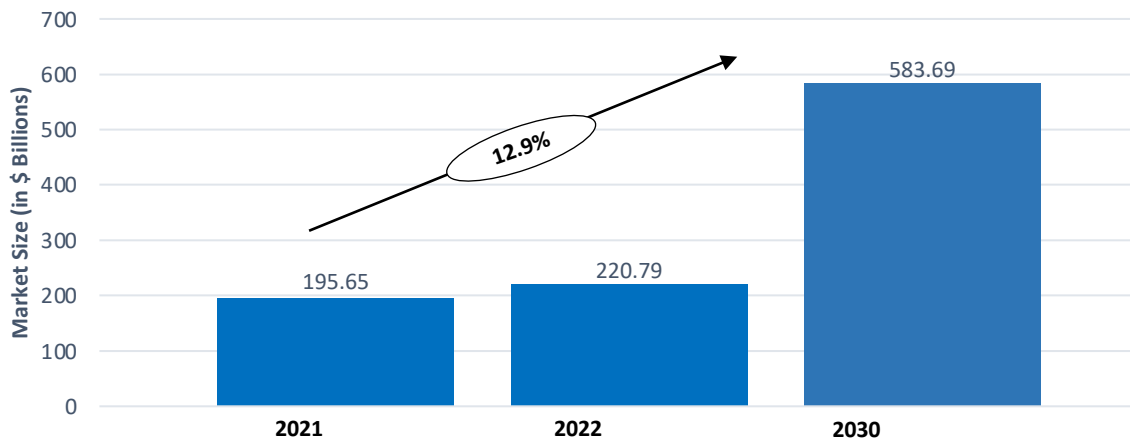
Gaming Industry

	CAGR	Segment Insights	Major Players
Digital Video Games	11.94%	• Video games products **generated $174 bm in sales** worldwide in 2022 • China is the biggest market with **31.4%** of revenue • US and Europe account for **19.6%** and **15.7%** of the sales	HZ, Ubisoft, EA Sports, Zero Games, iTechArt, Sony, Nintendo, Innowise
Home Video Games	9.7%	• Online games form **41%** of the market revenue. • In the past, home video games shifted from physical to digital by **20%** in 2009. • Then eventually by **83%** in 2018. • This highlights the **fast digitalization in this sector**	Nintendo, Tencent 腾讯, Bandai Namco, Sony, Activision Blizzard, Epic Games, EA Sports, Microsoft, Sega Sammy
Mobile Games	12.87%	• China generates **84.2%** of the total revenue • American and European markets follow shortly after in terms of sales, revenue generated and growth • Major publishers hail from **Taiwan, Japan and South Korea**	HZ, Nintendo, Tencent 腾讯, Bandai Namco, Square Enix, NetEase Games, playrix, XFLAG, Cygames
Virtual Reality Options	113%	• Many big firms such as **Microsoft** and **Meta** are investing heavily in VR software and hardware technology eg. Meta's Metaverse	Meta, Microsoft, Google, HTC, Samsung, oculus, Sony

Growth Trends

Past and projected growth of market size and revenue

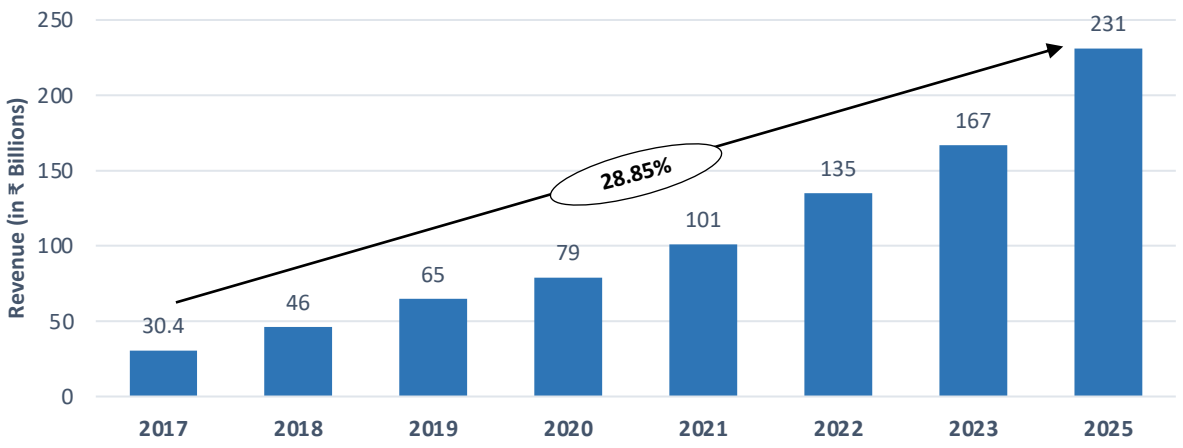
Market Size Projections till 2030



The industry is expected to grow with a CAGR of 12.90% to $583.69 Billion. This can be the result of various factors some of which are:

- New and improved infrastructure
- Rollout of 5G
- Growing awareness & participation in E-sports among youth, etc

Revenue Growth Projections



Revenue is expected to grow to $ 231 Billion, with a CAGR of 28.85% (approx. 8 times that in 2017). This can be the result of various factors some of which are:

- Increased income availability with consumers to spend on gaming hardware, software and accessories
- New age technology (AR & VR) which attracts customers

Porter's 5 forces

Analysing the competitive nature and forces of a high potential industry

Bargaining Power of Buyers:

Wider choice in games and hardware gives them considerable bargaining power.

Companies must continuously innovate and create new games to stay relevant, or consumers may choose other options.

Bargaining power of Suppliers:

They provide key components and software essential to the industry which gives them considerable bargaining power. However, competition forces them to lower their prices & offer better services to remain competitive.

Intensity of Competitive Rivalry:

Competitive rivalry is intense as many established players competing for market share

Competition is driven by the need to constantly innovate and create new games that appeal to consumers

Variety of gaming platforms such as Console, PC, Mobile, and Cloud-based gaming further intensifies competition

Threat of new entrants:

Low barrier to entry as game development tools/software are becoming more accessible and affordable.

This low barrier to entry enables anyone to enter the market. Thus, the market is extremely competitive.

Threat of Substitutes:

There can be new inventions & innovations in the industry, but the Gaming Industry as a whole cannot be replaced as the threat of substitutes is relatively low.

Gaming is a unique form of entertainment which other forms, such as movies, music, and social media, cannot disrupt.

Revenue Model

The multi-faceted revenue sources of the industry

Game Copies

Selling physical or digital copies of games through platforms like PlayStation Network, Xbox Live, or Nintendo eShop.

Subscription-based Model

Players pay a recurring fee to access games or specific features in this model. Examples include services like Xbox Game Pass, PlayStation Plus etc

Expansion Plans

Expansion packs are additional game content that developers release post-launch. They can include new levels, missions, characters, storylines, or game features. Players can purchase these expansions to extend their gameplay experience, providing a revenue stream for game developers.

Advertisements

Some games generate revenue by displaying in-game advertisements. This includes banner ads, video ads, or sponsored content.

In-App Purchases

Many games are free, but they offer optional in-app purchases for players to enhance their gameplay experience or acquire virtual goods or additional content.

Merchandising and Licensing

Game franchisees generate revenue by licensing their intellectual property for merchandise or by collaborating with other brands.

Set-up Costs

Outlay of the costs required to establish a game publishing firm

1 Revenue from online gaming grew 28% in 2021 to $1.2 Bn and is expected to reach $1.9 Bn by 2024.

2 The gaming industry is at the cusp of exponential growth and is on the trajectory to grow by 20-30% by FY23 and is expected to reach INR 380 Bn by 2026.

3 During the August 2020-January 2021 period, the gaming sector in India attracted US$544 million in investments

4 Between 2014-20, the total VC funding in Indian gaming was $350 Mn which is growing at a CAGR of 22%

5 Some notable investments include a US $225 million investment into Dream11, MPL raised US$95 million, US$68 million into Nazara Technologies and GameEon Studios, received funding of INR 25 million

COST OF SETUP

Particular	Approximate Cost
Monthly rent of office space	30,000 to 60,000
Equipment, Furniture, Computers, servers, etc	5,00,000 to 7,00,000
Monthly salary of skilled employee	30,000 to 50,000 per employee
Legal Formalities	1,20,000
Payment Gateway	30,000
Software and other Licenses	1,00,000 to 2,00,000
Game Development	2,00,000 to 3,00,000
Other Miscellaneous Costs	2,00,000

*all values are in INR

Key Investments

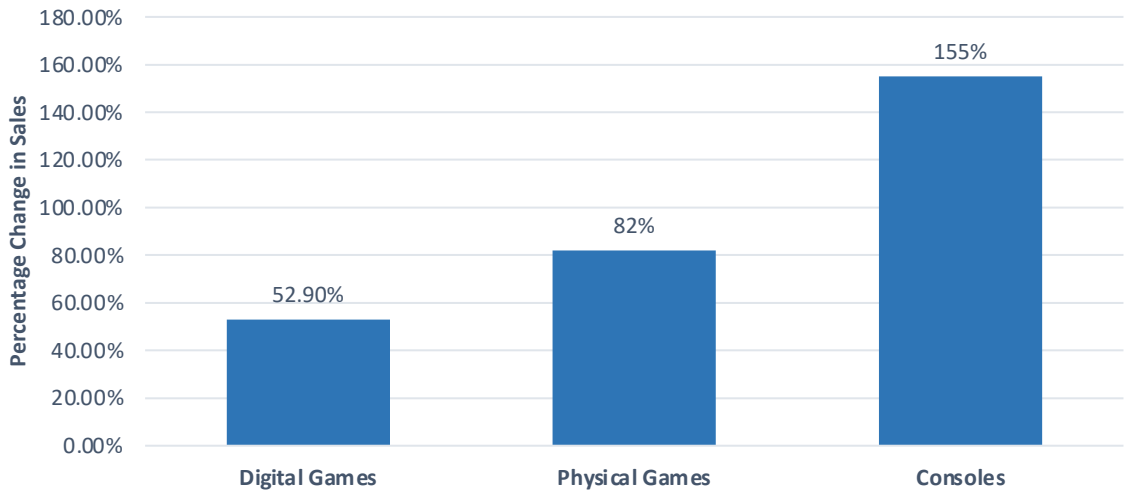
Top 8 investments made in the gaming industry in the last 5 years

Purchase year	Game Publisher	Investors	Game Publisher Overview	Key Investor Overview	Amount Invested (in $bn)
2016	DREAM11	Tencent 腾讯, STEADVIEW CAPITAL MANAGEMENT	India's largest fantasy sports platform that allows users to create virtual teams and compete in various sports.	Tencent is a leading Chinese technology conglomerate involved in diverse sectors, including social media, gaming, e-commerce, and more.	100
2020	Nazara™	IIFL FINANCE, Kae Capital	A technology company specializing in developing innovative solutions for the financial services industry.	IIFL is a financial services company offering a range of services, including broking, investment banking, and wealth management.	82
2018	HEAD infotech	CLAIRVEST	A gaming company known for developing and operating popular online gaming platforms like RummyCircle and Ace2Three.	Matrix Partners is a venture capital firm investing in early-stage startups with a focus on technology, consumer, and healthcare sectors.	75
2019	MPL MOBILE PREMIER LEAGUE	TIMES INTERNET	India's leading mobile gaming platform offering a variety of skill-based games and esports tournaments.	Sequoia Capital is a global venture capital firm investing in early-stage and growth-stage companies in technology, healthcare, and other sectors.	41
2020	Paytm FIRST GAMES	one97	A subsidiary of One97 Communications, offering mobile gaming and entertainment services.	Paytm Games is a subsidiary of One97 Communications, offering mobile gaming and entertainment services.	20
2015	Moonfrog	TIGERGLOBAL	A mobile game developer known for creating engaging and popular games for the Indian market.	Sequoia Capital is a global venture capital firm investing in early-stage and growth-stage companies in technology, healthcare, and other sectors.	16
2014			A mobile gaming company known for creating popular games like Indian Rummy, Teen Patti, and Poker.	Sequoia Capital is a global venture capital firm investing in early-stage and growth-stage companies in technology, healthcare, and other sectors.	15
2015		CLEARSTONE GLASS, svb, eventures	A global mobile games company that develops and publishes casual and social games across various genres.	Clearstone Venture Partners is a venture capital firm investing in early-stage technology companies with a focus on consumer internet and enterprise software.	11

Impact of Covid-19

Changes brought on by the pandemic on consumer behavior and trends

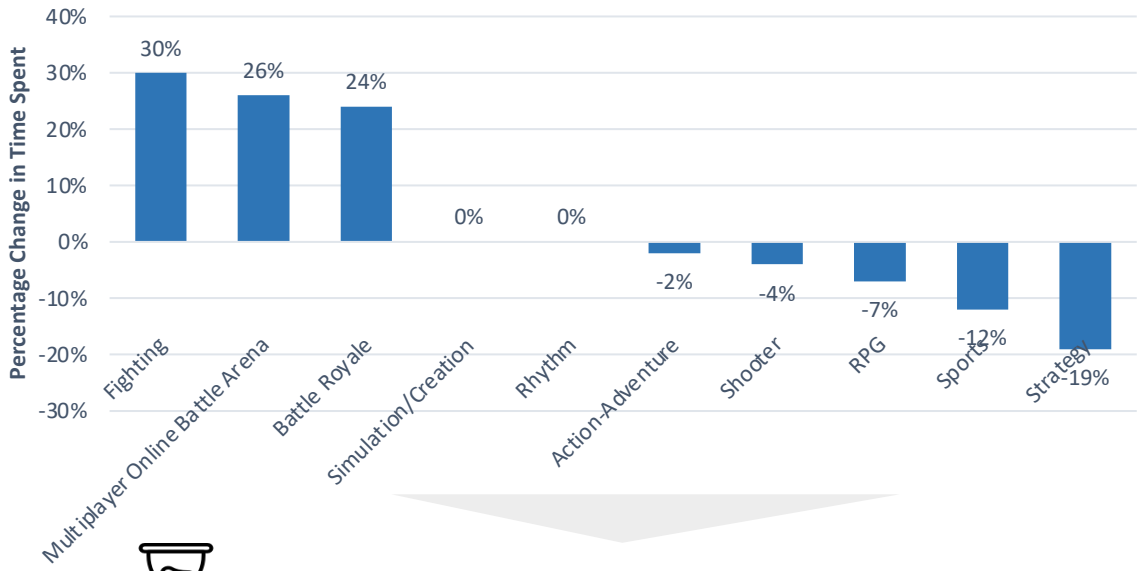
Increase in Sales due to Covid-19



Digital Games, Physical Games & Consoles, all saw a significant rise in sales as shown in the adjoining graph. However, Consoles saw a 1.5x increase.

This can be due to the launch of Xbox SeriesX & Play Station 5 by Microsoft & Sony respectively and the hype they created. It may have also been fuelled by speculations of new game releases of Bestselling Series.

Change in Time Spent playing Various Games



Some genres saw an increase in the time spent, whereas others saw a decrease. Some factors causing this can be:

- Age
- Gender
- Income
- Popularity of games in a genre
- Other Qualitative factors